Conditions

Contract terms and the right to end future performance

A theatre engages a singer for the opening of a new production. A different agreement concerns a supplier’s promise to send routine paperwork. Both promises can be binding, but failure to perform them may have different consequences. Contract law asks what kind of term is involved and what remedies follow.

This guide introduces conditions in the law of England and Wales for university English students with no legal background. Here, *condition* has a technical meaning: a contractual term whose breach generally gives the innocent party a right to terminate.

1 From formation to the content of a contract

Offer, acceptance, intention and consideration concern the creation of a contract. A **term** states what the contract requires: for example, the service, price, delivery date or standard of work. A **breach** is a failure to comply with a contractual obligation.

Before classifying a term, check that it forms part of the contract and identify what it actually requires. A statement made during negotiations is not automatically a contractual term.

2 Three important categories

CATEGORY	ORDINARY CONSEQUENCE OF BREACH
Condition	A right to terminate, together with a possible damages claim.
Warranty	A damages claim; that breach alone does not give a common-law right to terminate.
Innominate term (intermediate term)	Termination depends on sufficiently serious consequences: deprivation of substantially the whole contractual benefit. Damages may also be available.

An **innominate term** is neither a condition nor a warranty. It is not a rare leftover category. Some obligations can be broken in many ways, with consequences ranging from minor inconvenience to destruction of the expected benefit.

3 “Important” is a starting point, not the whole test

Conditions are often described as going to the root of the contract. This helps explain their significance, but classification is a question of law and interpretation. Do not classify every term that a party personally values as a condition.

The contract’s wording, its commercial setting, relevant case law and applicable legislation may determine classification. The general framework can also be affected by express termination rights and special statutory rules.

Poussard: The Opening Performances

Poussard v Spiers and Pond (1876) 1 QBD 410
Queen’s Bench Division | Judgment delivered by Blackburn J

4 The engagement and the illness

Madame Poussard was engaged for a principal female role in a new opera at the Criterion Theatre. Serious illness prevented her from performing on the opening night and the next three performance days. The length of her illness was uncertain.

The organisers engaged a replacement on a reasonable arrangement. When Madame Poussard recovered and offered to return, they refused. Her husband brought the action over that refusal.

5 Who won, and why?

Outcome: Spiers and Pond, the organisers, won. The motion seeking judgment for the plaintiff was refused. The opening and early performances were central to launching the production. Her inability to perform, and the reasonable need for a replacement, went to the root of the arrangement and discharged the organisers.

6 A crucial qualification about illness

The judgment expressly said that the illness-caused inability was not a breach for which the plaintiff could be sued. The organisers’ release from further performance did not establish a damages claim against the singer. The case illustrates failure of an essential performance condition, not punishment for illness.

7 Keep two questions separate

QUESTION	WHAT IT ASKS
May a party stop future performance?	Whether there is a legal basis to end the remaining contractual obligations.
May a party recover damages?	Whether a compensable breach and the other requirements for monetary relief are established.

In an ordinary breach case, termination and damages may be available together. But the right to stop performing and the right to obtain money remain distinct questions. A remedy must follow from the applicable legal basis.

8 Read the facts, not just the case label

In a performance dispute, identify the service, dates, reason for non-performance, available alternatives and allocation of risk. Support the claim that a performance is essential with concrete facts.

A missing rehearsal or delay requires its own analysis. A superficial resemblance to another case does not settle the term’s classification.

Classification and Choice

9 Read the agreement as a whole

A heading saying “Terms and Conditions” does not turn every clause into a technical condition. Even the word “condition” in an individual clause must be read in context. Ask what legal effect the parties’ agreement gives it.

Consider a long agreement requiring weekly sales visits. If another clause requires notice and an opportunity to put failures right, that context matters when deciding whether one missed visit permits immediate termination. A single word cannot replace reading the full agreement.

10 Distinguish a condition from a triggering event

The word “condition” can also describe an event on which an obligation depends. For example, “payment is due only after the certificate is issued.” This is a **condition precedent** to payment, not automatically a promise that someone will obtain the certificate.

Failure of an event and breach of a promise are different. Sometimes a contract contains both a conditional obligation and a duty to help bring about the event. Identify each separately.

11 Termination is a choice

In the ordinary common-law breach framework, a right to terminate does not itself end the contract. The innocent party may elect to terminate or affirm it. **Affirmation** means choosing to keep the contract in force despite the breach.

Termination generally releases future performance; it does not erase the contract from the beginning. Rights and liabilities already accrued may survive. Damages are compensation, not an automatic fine, and substantial recovery requires a legally recoverable loss.

12 Use examples to frame the right question

SIMPLIFIED SITUATION	QUESTION TO ASK
A contract clearly makes timely delivery a technical condition.	Has the delivery requirement been breached, and is the right to terminate still available?
A term is established to be a warranty.	What damages arise? That breach alone does not justify common-law termination.
A service obligation is innominate; one failure is minor, another destroys the expected benefit.	What are the consequences of this breach for the contractual benefit?

These examples assume the stated classification. In a real problem, you must justify it. Also check any separate termination clause, notice procedure, cure period or statutory qualification.

A Practical Method

13 Five steps for analysing a problem

1. Identify the term: what exact obligation is part of the contract?
2. Classify it: condition, warranty or innominate term? Give reasons.
3. Identify the failure: what happened, and was performance excused?
4. Check termination: is there a common-law or express right, and what procedures or choices affect it?
5. Analyse money separately: consider damages and any rights already accrued.

14 Essential vocabulary

Incorporation: becoming part of the contract.
Remedy: a legal response to a wrong or failure.
Innocent party: the party entitled to respond to the relevant breach.
Terminate: bring remaining performance obligations to an end.
Affirm: elect to keep the contract in force.
Accrued right: a right that has already arisen.
Damages: monetary compensation under the applicable legal rules.

15 Check your understanding

1. Does breach of a warranty, by itself, give a common-law right to terminate?
2. Does an innominate term become a condition whenever its breach is serious?
3. Who won Poussard, and why?
4. Did the court impose damages on the singer because she became ill?
5. Does termination automatically erase all earlier rights?
6. Does the heading “Terms and Conditions” settle classification?

Answers: 1. No. 2. No; the consequences determine the termination right, without changing the term’s category. 3. The organisers won because the essential early performance failed and replacement was reasonably necessary. 4. No; illness-caused inability was not actionable against the plaintiff. 5. No; accrued rights may survive. 6. No; interpret the agreement in context.

Authorities: Poussard, original report reproduction; Great Asia Maritime v Orion [2026] UKSC 23, termination framework; Telchadder [2014] UKSC 57, paragraph 21, interpretation of “condition”; Liberty Mercian [2013] EWHC 2688 (TCC), effect of termination.

Adapted from the supplied Conditions lesson, correcting “innominate” and the treatment of illness in Poussard. Examples are simplified for beginners.